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Nirma University

Institute of Management

Trimester End Examination (IR/RPR), October-2022

Master of Business Administration, Trimester - IV (makeup)

MFT5SEEF01 Bank Management

Roll / Exam No.

Supervisor's initial
with date

Time: 3 Hours

Max. Marks : 100

Instructions:

1. Attempt all questions.
2. Figures to right indicate full marks.
3. Attach the question paper with main answer book while submitting the answer book.

Q.1 Supreme Bank Ltd. is a private bank with legacy of more than 20 years of existence. Due to less than satisfactory performance over last 5 years, bank has seen recently the change in top management. New management has proposed the revamp in terms of deposit pricing strategy. In this context delineate various deposit pricing strategies and under which condition these strategies will be suitable.

(25 Marks)

Q.2. Sigma Ltd. is in a business of manufacturing industrial pipes. The company is planning to take corporate loan of Rs. 123 Crore for the purpose of plant expansion due to increase in the demand for the industrial pipes. Sigma Ltd. has applied for the loan to Trust Bank Ltd. You are supposed to describe at length all the steps for credit management process that a typical bank would undertake for such a loan.

(25 Marks)

Q.3. Good Bank Ltd. and Better Bank Ltd. has made agreement for plain vanilla interest rate swap. Details are provided as below;
Swap is for 5 years with frequency of payment is yearly. Nominal value of the contract is INR.5.30 Crore.

Better bank has agreed to pay floating rate of MIBOR + 0.38%. While Good bank has agreed to pay fixed rate of 7.5%.

MFTSSEFOI

Particular	MIBOR Rate
After 1 st year MIBOR rate	6.25%
After 2nd year MIBOR rate	6.73%
After 3rd year MIBOR rate	7.55%
After 4th year MIBOR rate	8.03%
After 5th year MIBOR rate	6.15%

Calculate for all the five years, which bank will make net payment to another bank in the above swap agreement.

(25 Marks)

Q.4 Able Bank Ltd. can generate deposit worth of Rs. 55 crore by providing 6.75% of deposit rate. The bank based on historical trend estimates that it can generate additional deposit of Rs. 15 Crore by increasing the interest rate by 20 bps (0.20%). This way Able Bank Ltd. can fight the competitor by capturing higher base of deposits. Bank also believes that it can continue to increase deposit by additional Rs. 15 crore if it increases the interest rate by 20 bps every time.

The bank also estimates that such new deposits can be invested in assets having capability to generate margin yield of 9.55%. Analyze and provide calculation based on new cost of funds method as to till what level of new deposits bank should generate without losing any marginal revenue. To what level bank should keep on increasing the deposit rate?

(25 Marks)